

BLOCKMEDIARY

# DIFC Partner-Led Pilot and VARA Scale Readiness Report

Requirements, activity mapping, parallel timeline and financial-model implications

**Recommended planning position**

Begin the DIFC partner-led pilot and VARA application workstreams in parallel from Month 1. Retain Month 12 for the first paid pilot. Model full VARA licensing at Month 18 in the base case, with Month 12 as an early case and Month 24 as a delayed case.

|                        |                                                                             |
|------------------------|-----------------------------------------------------------------------------|
| <b>Prepared by</b>     | Blockmediary project team                                                   |
| <b>Purpose</b>         | Master's-level preliminary business report for academic and investor review |
| <b>Status</b>          | Business-planning report; not legal advice or a licence application         |
| <b>Reference model</b> | Blockmediary Financial Model, 12 August 2026                                |
| <b>Research date</b>   | 12 August 2026                                                              |

**Scope note:** This report interprets current public regulatory material against Blockmediary’s stated product architecture. Final permissions depend on the actual legal entities, contracts, wallet and key controls, customer location and regulator/counsel decisions.

**Terminology:** The correct term is “VARA-licensed,” not “VARA-certified.”

## Contents

1. Executive conclusion
2. Blockmediary's regulatory boundary
3. Track A — DIFC partner-led pilot
4. Track B — VARA licensing for scale
5. Parallel implementation timeline
6. Product-readiness gaps and launch gates
7. Financial-model implications
8. Open regulatory questions and validation priorities
9. Conclusion
- References

### 1. Executive conclusion

Blockmediary can pursue a limited DIFC partner-led pilot and a VARA licensing programme in parallel from inception. They are not competing alternatives: the pilot is a controlled commercial route under a suitably authorised partner, while the VARA workstream builds Blockmediary's own non-DIFC Dubai licensing platform for wider scale.

| Question                                                   | Conclusion                                                                                                                                | Planning treatment                                                                                          |
|------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| <b>Can both workstreams start together?</b>                | Yes. Begin both in Month 1 of the model.                                                                                                  | Parallel workstreams; do not make VARA preparation wait for pilot revenue.                                  |
| <b>Can the first paid pilot remain Month 12?</b>           | Yes, provided the partner structure and production controls are completed.                                                                | Retain Month 12 as the base pilot date.                                                                     |
| <b>Can full VARA licensing be achieved by Month 12?</b>    | Possible, but optimistic. VARA publishes a process, not a guaranteed approval period.                                                     | Early case: M12; base: M18; delayed: M24.                                                                   |
| <b>Does a DIFC Innovation Licence authorise the pilot?</b> | No. A commercial licence does not authorise regulated financial services.                                                                 | The regulated partner must hold the relevant DFSA permissions; Blockmediary's own status must be confirmed. |
| <b>Which VARA permissions are required?</b>                | Transfer and Settlement is the closest apparent fit; Custody is control-dependent; Broker-Dealer is not established by the current facts. | Use activity-scope scenarios until a written perimeter opinion or regulator response is obtained.           |

#### Base-case recommendation

Use Month 18 as the expected full VARA licence date. Month 12 should be retained as a credible early case only where the activity scope is resolved quickly, the applicant entity and two Responsible Individuals are in place, the full submission is made early, and the regulator requires limited remediation. VARA Approval to Incorporate or in-principle approval must not be counted as permission to serve customers. [9][10]

The main constraint is not the age of the business. It is the unresolved regulatory perimeter: whether Blockmediary's smart-contract and server-side release controls amount to custody, transfer and settlement, or a technology service supporting a licensed principal. The answer determines entity structure, capital, fees, safeguarding and the design of the pilot.

## 2. Blockmediary's regulatory boundary

The Blockmediary BRD defines a prefunded documentary escrow. A buyer sends stablecoin directly to a smart contract; Blockmediary verifies trade documents off-chain; an authorised server-side function submits the release decision on-chain. Blockmediary does not lend, provide working capital, guarantee the goods, or route customer funds through an ordinary Blockmediary wallet. The delivered prototype is testnet-based and uses a deterministic document-rules engine. Production KYB/sanctions screening, legal agreements, human-review operations and partner API hardening remain roadmap items. [1]

| Design feature                      | Regulatory relevance                                                                                                                                               | Current interpretation                                                                                                    |
|-------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <b>Direct smart-contract escrow</b> | Removing an ordinary platform wallet reduces one custody indicator, but does not by itself remove custody or settlement risk.                                      | Functional control over contract administration, release keys, upgrades and recovery must be analysed.                    |
| <b>Server-side release key</b>      | Blockmediary can determine when funds move after document review.                                                                                                  | Material indicator of operational control; requires separation of duties, secure key management and legal classification. |
| <b>Document verification</b>        | The core service is documentary conformity, not goods inspection or lending.                                                                                       | Supports a narrower technology/operational role, especially in the partner pilot.                                         |
| <b>USDC/EURC settlement</b>         | Use of a token does not alone define the DFSA financial service; the underlying activity matters. Mainland payment-token restrictions can still apply. [7][18][19] | Token, customer location and payment purpose must be confirmed before live launch.                                        |
| <b>No financing spread</b>          | The product is prefunded escrow rather than credit intermediation.                                                                                                 | Avoids a lending model but does not remove custody, transfer, AML or payment-token questions.                             |

### Important interpretation

"The smart contract holds the assets" is a technical description, not a complete regulatory conclusion. Regulators generally examine who can cause, prevent, reverse, upgrade or recover transfers and who bears responsibility to the client. Blockmediary should not describe itself as definitively non-custodial until that control analysis is documented.

## 3. Track A — DIFC partner-led pilot

### 3.1 What the route is

A "DIFC partner-led pilot" is not a named DFSA licence category. It is a proposed operating arrangement in which a DFSA-authorised firm acts as the regulated principal and Blockmediary supplies technology, document-verification and workflow services. Firms conducting financial services in or from DIFC require DFSA authorisation, and a DIFC Commercial or Innovation Licence does not itself permit regulated financial services. [3][4][5]

Under DFSA outsourcing rules, an authorised firm remains responsible for outsourced functions, must conduct due diligence and supervise the provider, and—where the arrangement is material—must notify the DFSA, maintain written outsourcing and contingency arrangements, and preserve regulatory access. [6] This makes the partner agreement and responsibility matrix the central regulatory instrument for the pilot.

### 3.2 Minimum requirements for the pilot

| Requirement                                         | Primary owner    | Blockmediary application                                                                                                                                                                      | Launch status                        |
|-----------------------------------------------------|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| <b>Written regulatory-perimeter opinion</b>         | Shared           | Map the exact customer journey, entities, wallet flows, release key, smart-contract control and token use. Confirm whether Blockmediary is an outsourced provider or independently regulated. | Required before accepting live funds |
| <b>Suitable DFSA- authorised partner</b>            | Partner          | Check the DFSA public register and the partner's permissions. The permissions must cover the actual custody/settlement/customer activity, not merely generic fintech or payment services.     | Required                             |
| <b>Partner term sheet and outsourcing agreement</b> | Shared           | Set scope, service levels, audit rights, subcontracting, data access, incident reporting, business continuity, termination and migration.                                                     | Required                             |
| <b>Regulatory responsibility matrix</b>             | Shared           | Assign customer contracting, onboarding, KYB/sanctions, wallet screening, transaction monitoring, safeguarding, release approval, complaints, reporting and loss liability.                   | Required                             |
| <b>Customer agreements and disclosures</b>          | Shared           | Complete the Trade Escrow Agreement; identify the regulated principal; disclose document-only verification, token/chain risks, objection window, fees, liability and dispute forum.           | BRD roadmap item                     |
| <b>KYB, sanctions and transaction controls</b>      | Partner / Shared | Hard gate before funding; include UBO verification, sanctions screening, wallet risk, escalation, re-screening and record retention.                                                          | BRD roadmap item                     |
| <b>Production smart-contract and key security</b>   | Blockmediary     | Independent audit; role separation; multisignature or equivalent release controls; upgrade/emergency procedures; key compromise response; audit logs.                                         | Production gap                       |
| <b>Data protection and processing</b>               | Shared           | Determine controller/processor roles; execute data-processing terms; complete DIFC notification where required; implement production PII, retention and breach controls. [8]                  | Production gap                       |
| <b>Human review and exception process</b>           | Blockmediary     | Apply mandatory review above £50,000 and to discrepancies or low-confidence cases; document reviewer authority, QA and audit evidence.                                                        | Console/SOP partly roadmap           |
| <b>Pilot limits and exit criteria</b>               | Shared           | Set customer count, maximum deal value, approved corridors/tokens, transaction cap, manual sign-off, incident thresholds and migration/wind-down rules.                                       | Required                             |

### 3.3 Recommended pilot envelope

For this preliminary business plan, the proposed pilot is deliberately controlled rather than fully scaled:

- Business-to-business customers only, with a small named cohort recruited through the regulated partner.
- Initial deal values at or below the current £50,000 automation cap, with human sign-off available for every release.
- Approved low-risk corridors and non-prohibited goods; no sanctioned parties or high-risk regulated goods.

- A narrow document set and explicit release rules; no claim that the platform verifies physical quality or delivery.
- Partner-approved token, blockchain, wallets and funding/redemption path.
- Manual exception, complaint, refund and incident procedures before the first live transaction.
- No public claim that Blockmediary itself is DFSA-authorized unless and until it obtains a DFSA licence.

### 3.4 Is a DFSA Innovation Testing Licence required?

Not automatically. The ITL is a restricted DFSA sandbox for a firm that itself needs to test regulated financial services. A genuinely partner-led arrangement may instead operate within the authorised partner's permissions and outsourcing framework. Blockmediary should pursue an ITL only if the DFSA or counsel concludes that Blockmediary itself will conduct a regulated activity during the test. It should not be assumed to be a cheap substitute for a properly structured partner model.

## 4. Track B — VARA licensing for scale

### 4.1 Applicant entity and process

VARA regulates virtual-asset activity in Dubai outside DIFC. A new application must be made through the Dubai Department of Economy and Tourism or a Dubai free zone excluding DIFC. Blockmediary therefore needs a separate VARA-eligible legal entity or group company outside DIFC. VARA prefers an LLC or free-zone company and requires physical presence in Dubai. [9][10]

| Stage                                     | Official position                                                                                                                                               | Blockmediary action                                                                                                                                      |
|-------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1. IDQ and Approval to Incorporate</b> | Submit the Initial Disclosure Questionnaire through DET or the selected non-DIFC free zone, pay the initial portion of fees and obtain Approval to Incorporate. | Confirm commercial licensor, entity, shareholding, UBOs, initial activity scope, funding and business plan.                                              |
| <b>2. Build the applicant</b>             | ATI allows incorporation and operational preparation; it is not permission to conduct regulated VA activity.                                                    | Establish office, appoint key staff and two Responsible Individuals, fund capital, complete policies, audit technology and prepare the full application. |
| <b>3. Full VASP application</b>           | Submit the regulatory package; respond to meetings, interviews and information requests; pay the balance of application and first-year supervision fees.        | Demonstrate governance, fitness and propriety, AML, technology, financial resources, client controls, wind-down and activity-specific compliance.        |
| <b>4. Full licence</b>                    | A licence may include operational conditions. Preliminary or in-principle status does not permit customer operations.                                           | Start VARA-scale activity only from the full licence effective date and within the approved activities and conditions.                                   |

### 4.2 Likely VARA activity mapping

VARA licences each activity separately. The table below is an initial mapping, not a legal conclusion. [10][11]

| Activity                          | Official definition in brief                                                                                    | Fit to Blockmediary                                                                                                                     | Planning status               |
|-----------------------------------|-----------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|
| <b>VA Transfer and Settlement</b> | Transmission, transfer or settlement of virtual assets from one entity to another or to another wallet/address. | Closest apparent fit: the product releases stablecoin from buyer-funded escrow to the seller when documentary conditions are satisfied. | Likely core application scope |

| Activity                      | Official definition in brief                                                                                          | Fit to Blockmediary                                                                                                                                                 | Planning status                         |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------|
| <b>Custody Services</b>       | Safekeeping virtual assets for another entity and acting on verified instructions.                                    | Conditional. Direct smart-contract funding helps, but the server-side release key, admin/upgrade controls and recovery rights may amount to control or safekeeping. | Obtain written opinion / regulator view |
| <b>Broker-Dealer Services</b> | Arranging, accepting or matching orders for the purchase or sale of virtual assets, or dealing/market-making in them. | Not established by the current model. Blockmediary arranges settlement of a physical-goods sale and does not describe token purchase/sale or order matching.        | Do not assume mandatory                 |

### Structural issue if Custody is required

VARA requires a Custody VASP to be a separate legal entity from group entities providing other VA activities, with a limited possibility of combining Custody and Transfer and Settlement subject to VARA approval and strict operational segregation. The current assumption that one entity will simply hold Custody, Transfer and Settlement and Broker-Dealer permissions should not be treated as settled. [14]

## 4.3 Core licence-readiness requirements

| Requirement category                   | What VARA expects                                                                                                                                                         | Blockmediary-specific evidence                                                                                                                      |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Corporate and ownership</b>         | Non-DIFC Dubai applicant; incorporation and licensing documents; UBO/controller information; source of funds; group and close-links information.                          | Clear DIFC-partner entity versus VARA-scale entity chart, IP/service agreements and ownership funding trail.                                        |
| <b>Governance and people</b>           | Suitable senior management and two full-time, fit-and-proper Responsible Individuals who are UAE residents or UAE passport holders. [10][13]                              | Named CEO/operations and compliance accountability; approved RIs; conflicts, delegation and succession arrangements.                                |
| <b>Physical presence</b>               | Private Dubai office for Custody, Broker-Dealer and Transfer and Settlement activities. [10]                                                                              | Office and staffing plan consistent with the proposed activities and transaction volume.                                                            |
| <b>Regulatory business plan</b>        | Detailed activity scope, target customers, products, jurisdictions, revenue, financial projections, risks and operating model.                                            | Explain documentary escrow, no-lending boundary, customer journey, partner migration and transaction/value limits.                                  |
| <b>AML/CFT and sanctions</b>           | Customer due diligence, ongoing monitoring, sanctions, suspicious-activity escalation, counterparty-VASP due diligence and Travel Rule controls.                          | KYB/UBO and wallet screening before funding; unhosted-wallet approach; originator/beneficiary data for relevant transfers. [16]                     |
| <b>Client asset / custody controls</b> | Safeguarding, wallet segregation, control, reconciliation and prohibition on rehypothecation where Custody applies. [14]                                                  | Per-deal/client segregation design, reconciliation between contract and ledger, recovery and wind-down treatment.                                   |
| <b>Technology and cyber</b>            | Cybersecurity policy, CISO accountability, secure development, access controls, incident response, vendor management, independent testing and smart-contract review. [15] | Independent contract audit before production, key-management design, multisignature/separation of duties, monitoring, emergency pause and recovery. |
| <b>Operational resilience</b>          | Business continuity, disaster recovery, outsourcing controls, capacity, complaint handling and incident reporting.                                                        | Fallback document review, release-key continuity, chain/stablecoin outage playbooks and manual settlement/refund procedures.                        |
| <b>Financial resources</b>             | Activity-specific application/supervision fees, paid-up capital and evidence of ongoing capital maintenance.                                                              | Capital and fee model linked to confirmed activity scope and allocated fixed overheads; not a single unsupported lump sum.                          |

| Requirement category          | What VARA expects                                                                                    | Blockmediary-specific evidence                                                                                                |
|-------------------------------|------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| <b>Client documentation</b>   | Fair disclosures, terms, complaints, risk warnings, fees and activity-specific customer protections. | Trade Escrow Agreement, stablecoin/chain risk, document-only decision scope, objection window, fee and liability disclosures. |
| <b>Wind-down and recovery</b> | Orderly wind-down, succession, financial and operational contingency arrangements.                   | How open escrows, documents, keys, customer data and refunds are handled if Blockmediary or a partner exits.                  |

#### 4.4 Indicative VARA fees and capital

The accompanying financial model uses AED 200,000 for application fees, AED 480,000 for annual supervision and AED 1.5 million of restricted capital. These are reasonable placeholders for a broad multi-activity case, but they do not represent one confirmed requirement.

| Illustrative scope                                       | Application fee      | Annual supervision | Capital floor before overhead test                                                                                           |
|----------------------------------------------------------|----------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------|
| <b>Transfer and Settlement only</b>                      | AED 40,000           | AED 80,000         | Higher of AED 500,000 or 25% of activity fixed annual overhead                                                               |
| <b>Custody + Transfer and Settlement</b>                 | Approx. AED 120,000* | AED 280,000        | At least AED 1.1m in combined floors, subject to activity overhead allocation and structure                                  |
| <b>Custody + Transfer and Settlement + Broker-Dealer</b> | Approx. AED 170,000* | AED 480,000        | Approx. AED 1.5m floor only if the lower Broker-Dealer capital treatment applies; structure may require more than one entity |

*\*Illustrative multi-activity fee calculation using VARA's 50%-of-lower-application-fee extension rule. VARA may impose additional fees based on risk. Capital is the higher of the stated floor and the relevant percentage of fixed annual overhead and must be maintained in an approved form. [12][13]*

#### 4.5 CBUAE payment-token overlay

VARA authorisation does not automatically resolve Central Bank requirements. The CBUAE Payment Token Services Regulation restricts the provision of payment-token services in or directed to the UAE and restricts merchants' acceptance of virtual assets for goods and services, while expressly excluding Financial Free Zones from Article 2's definition of "the UAE." A locally licensed VASP may apply for a non-objection registration for certain foreign-payment-token custody and transfer activity. [18][19][20]

##### **Blockmediary-specific legal gate**

Before any live UAE launch, obtain a written opinion on whether a UAE buyer may prefund USDC or EURC into this escrow for settlement of a physical-goods purchase, and whether the proposed partner or VARA entity requires a CBUAE licence, registration or non-objection. The answer may differ between an in-DIFC pilot, a mainland customer and a cross-border transaction directed to a UAE person.

## 5. Parallel implementation timeline

VARA does not publish a guaranteed approval period. The timing below is therefore a business-planning estimate based on the official two-stage process and Blockmediary's readiness tasks, not a regulatory service-level commitment. [9]

| Period              | DIFC partner-led pilot track                                                                                            | VARA scale track                                                                                                                   | Decision / output                                                            |
|---------------------|-------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| <b>Months 1–3</b>   | Regulatory-perimeter advice; partner selection; initial responsibility map; pilot customer profile.                     | Select non-DIFC commercial licensor; pre-application engagement; IDQ; activity hypothesis; entity and funding plan.                | Proceed only if token, custody and customer-contract structure is viable.    |
| <b>Months 4–6</b>   | Negotiate outsourcing and commercial terms; design KYB/sanctions, escrow agreement, complaints and pilot controls.      | Target ATI and incorporation; appoint key advisers; begin RI recruitment; prepare policies, forecasts and capital plan.            | Lock legal entities and responsibility matrix.                               |
| <b>Months 7–11</b>  | Complete production audit, security/key controls, data protection, SOPs, partner testing and first-customer onboarding. | Complete full submission, office and staffing; independent audit; AML/Travel Rule and client-asset controls; respond to regulator. | Pilot gate review; full VARA file submitted or near-complete.                |
| <b>Month 12</b>     | First paid partner-led pilot in base case.                                                                              | Full licence possible only in the early case; ATI/IPA alone is not sufficient.                                                     | Launch limited pilot; do not start VARA-scale activity without full licence. |
| <b>Months 13–18</b> | Operate controlled cohort; collect incidents, review data and customer evidence; remediate partner findings.            | Regulatory questions, interviews, remediation, capital and operational-condition completion.                                       | Base-case full VARA licence in Month 18.                                     |
| <b>Months 19–24</b> | Prepare customer/transaction migration and partner exit or coexistence model.                                           | Delayed-case remediation or narrower/resubmitted activity scope.                                                                   | Delayed full licence by Month 24.                                            |

| Case           | Pilot gate complete | First paid pilot | VARA starts | Full VARA licence target | Use in model                       |
|----------------|---------------------|------------------|-------------|--------------------------|------------------------------------|
| <b>Early</b>   | M8                  | M9               | M1          | M12                      | Upside / execution case            |
| <b>Base</b>    | M11                 | M12              | M1          | M18                      | Recommended presentation case      |
| <b>Delayed</b> | M17                 | M18              | M1          | M24                      | Regulatory/remediation sensitivity |

### What would need to be true for Month 12 VARA?

- The activity perimeter is resolved in the first one to two months, without a later redesign of the custody or entity structure.
- The IDQ and initial application are submitted immediately through the selected non-DIFC licensing channel.
- The applicant, UBO funding, office, two Responsible Individuals and senior-management structure are available early.
- A substantially complete full application is filed within the first half of Year 1.
- Smart-contract, key-management, AML/Travel Rule, client-asset and wind-down controls are production-ready rather than demonstrator-grade.
- Regulatory feedback is limited and no additional licence category or separate custody entity is required.
- CBUAE treatment of the chosen stablecoin and customer flow is resolved without a separate long approval sequence.



These conditions make Month 12 credible as an early case, but too dependent on favourable classification and execution to be the central forecast.

## 6. Product-readiness gaps and launch gates

The BRD correctly separates the delivered demonstrator from the production roadmap. The following items should appear as explicit launch gates rather than being implied by the prototype. [1]

| Capability                            | BRD position                                   | Needed for partner pilot?             | Needed for VARA scale?          | Recommended gate                                                         |
|---------------------------------------|------------------------------------------------|---------------------------------------|---------------------------------|--------------------------------------------------------------------------|
| <b>Stablecoin escrow contract</b>     | Testnet delivered                              | Yes — production deployment and audit | Yes — full technology controls  | Independent audit, mainnet/token approval and emergency controls         |
| <b>Document verification</b>          | Single structured transport document delivered | Yes — narrow approved set acceptable  | Yes — scalable full process     | Document SOP, reviewer evidence and discrepancy path                     |
| <b>KYB/sanctions</b>                  | Identity capture delivered; screening roadmap  | Yes                                   | Yes                             | Live provider, UBO/wallet screening and escalation                       |
| <b>Trade Escrow Agreement</b>         | Roadmap                                        | Yes                                   | Yes                             | Approved contract and customer disclosures                               |
| <b>Human-review console/SOP</b>       | Roadmap                                        | Yes                                   | Yes                             | Mandatory review above £50k and exceptions; QA and audit log             |
| <b>Production PII/data protection</b> | Roadmap                                        | Yes                                   | Yes                             | Controller/processor terms, privacy notice, retention and breach process |
| <b>Partner API hardening</b>          | Roadmap                                        | Yes                                   | Yes                             | Authentication, authorisation, keys, rate limits, CORS, monitoring       |
| <b>Disputes/ amendments/waivers</b>   | Partly roadmap                                 | Yes                                   | Yes                             | Named authority, service levels, evidence and external forum             |
| <b>Travel Rule/unhosted wallets</b>   | Not specified in BRD                           | Partner-dependent                     | Yes for relevant VARA transfers | Originator/beneficiary data and counterparty-VASP controls               |
| <b>Safeguarding/ reconciliation</b>   | Direct smart contract described                | Yes, responsibility assigned          | Yes, activity-dependent         | Daily/transaction reconciliation and client-asset recovery plan          |

## 7. Financial-model implications

The accompanying Financial Model workbook is framed as an indicative planning model rather than a regulatory filing. Its launch tab presents the parallel strategy through a concise set of timing, fee and capital assumptions. [2]

| Current model item                         | Recommended treatment                                          | Reason                                                                 |
|--------------------------------------------|----------------------------------------------------------------|------------------------------------------------------------------------|
| <b>Heading: “one sequential UAE route”</b> | Replace with “parallel DIFC partner pilot and VARA licensing.” | The workstreams start together and have separate operating gates.      |
| <b>VARA application start M12/M18/M24</b>  | Set M1 in all three cases.                                     | Start pre-application, entity and perimeter work immediately.          |
| <b>VARA target M24/M30/M36</b>             | Use M12/M18/M24.                                               | Reflect early/base/delayed full-licence outcomes from a Month-1 start. |

| Current model item                      | Recommended treatment                                                                  | Reason                                                                                                                             |
|-----------------------------------------|----------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>First paid pilot M9/M12/M18</b>      | Retain these sensitivities.                                                            | Pilot timing remains driven by partner and production readiness, not VARA approval.                                                |
| <b>AED 200k application fee</b>         | Keep as a rounded conservative placeholder; label "scope-dependent."                   | Official illustrative fees range materially by activity; broad three-activity fees are approximately AED 170k before risk add-ons. |
| <b>AED 480k annual supervision</b>      | Apply only in the three-activity case.                                                 | T&S only is AED 80k; Custody + T&S is AED 280k.                                                                                    |
| <b>AED 1.5m restricted capital</b>      | Retain as a broad planning case, but add lower/narrower and overhead-driven scenarios. | Capital is activity-specific, overhead-tested and structurally affected by custody segregation.                                    |
| <b>VARA revenue start</b>               | Start only from the full VASP licence date.                                            | ATI or IPA cannot be treated as permission to operate.                                                                             |
| <b>Partner £60k setup / £67k annual</b> | Keep as management estimates pending a term sheet.                                     | Public rules do not establish a standard partner price.                                                                            |
| <b>CBUAE costs/timing</b>               | Add a qualitative gate or modest legal/advisory contingency; avoid false precision.    | The applicable licence or non-objection route is unresolved.                                                                       |

### Model presentation

The accompanying submission presents one base timeline and two sensitivities without unnecessary month-by-month regulatory micro-costing. Its principal outputs are the Month 12 paid pilot, Month 18 base VARA licence, the distinction between preliminary and full approval, and the activity-scope sensitivity for fees and capital.

## 8. Open regulatory questions and validation priorities

Public rules define the framework but do not resolve Blockmediary's exact classification. The following questions are therefore treated as open assumptions in this submission:

| Priority | Question                                                                                                                            | Why it matters                                                              | Best validation                                                    |
|----------|-------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|--------------------------------------------------------------------|
| 1        | Does Blockmediary's release key, smart-contract administration or recovery design constitute custody or control?                    | Determines Custody permission, entity separation, capital and safeguarding. | Written UAE regulatory-perimeter opinion with architecture diagram |
| 2        | Is VA Transfer and Settlement the correct primary VARA activity?                                                                    | Sets the core application, policies, fees and capital.                      | VARA pre-application discussion / counsel confirmation             |
| 3        | Is Broker-Dealer permission required where Blockmediary settles a physical-goods trade but does not arrange token purchase or sale? | Could add fees, capital, staffing and a separate group structure.           | Written activity analysis; do not assume                           |
| 4        | Can USDC/EURC be used in the proposed UAE physical-goods settlement flow?                                                           | May trigger CBUAE restrictions, licensing or non-objection requirements.    | CBUAE-focused legal advice and partner confirmation                |
| 5        | Which entity is the customer-facing regulated principal in the DIFC pilot?                                                          | Determines contracts, AML, complaints, client assets and liability.         | Executed partner responsibility matrix and outsourcing agreement   |

| Priority | Question                                                                                             | Why it matters                                                           | Best validation                                                          |
|----------|------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|--------------------------------------------------------------------------|
| 6        | Can the partner's existing permissions and systems support the specific escrow/release architecture? | A generic payments or custody licence may not cover the actual workflow. | Partner compliance sign-off and DFSA notification/engagement if material |
| 7        | What evidence and staffing will VARA expect for a Month-12 application?                              | Controls whether the early case is genuinely achievable.                 | Initial Disclosure Questionnaire feedback and adviser readiness review   |

### Single most valuable next step

#### Commission one integrated UAE perimeter memorandum

The highest-value next step is to provide counsel with the BRD, a smart-contract control/key diagram, the proposed DIFC partner responsibility matrix, the exact USDC/EURC customer flow and the intended VARA entity. The resulting memorandum should map activities across DFSA, VARA and CBUAE and recommend a pre-application engagement plan, resolving the assumptions with the largest effect on timing, capital and launch legality.

## 9. Conclusion

The recommended strategy begins both routes at inception. The DIFC track provides a controlled route to customer validation through an authorised partner, while the VARA track builds Blockmediary's own platform for wider Dubai scale. The two tracks remain legally and operationally separated: the partner is responsible for the regulated pilot functions, and the VARA applicant is established outside DIFC.

For the academic financial model, Month 18 is the strongest base-case full-licence assumption. Month 12 remains a credible early case only with fast perimeter resolution, early entity and personnel readiness, a substantially complete application within the first half-year, and limited regulatory remediation. Month 24 provides a reasonable delayed case.

The report's central caveat is that the exact VARA activity set and CBUAE treatment are not yet settled. Transfer and Settlement appears most closely aligned; Custody depends on actual control; Broker-Dealer is not demonstrated by the current physical-goods business model. The financial model represents this uncertainty through clear scenarios rather than one apparently precise cost figure.

| Decision                     | Recommended assumption                                | Confidence        |
|------------------------------|-------------------------------------------------------|-------------------|
| Start both workstreams       | Month 1                                               | High              |
| First paid partner-led pilot | Month 12 base                                         | Medium            |
| Full VARA licence            | Month 18 base; M12 early; M24 delayed                 | Medium            |
| Primary VARA activity        | Transfer and Settlement — subject to confirmation     | Medium-low        |
| Custody permission           | Conditional on control analysis                       | Low until opinion |
| Broker-Dealer permission     | Do not assume required                                | Medium-low        |
| CBUAE treatment              | Hard legal gate before live UAE stablecoin settlement | Low until opinion |

## References

Official sources were prioritised. All web sources were accessed on 12 August 2026. Internal materials are cited as planning sources, not as legal authorities.

- [1] **Blockmediary / Transakt. Business Requirements Document — Blockmediary, version 1.0, 9 August 2026. Internal project source.**
- [2] **Blockmediary / Transakt. Blockmediary Financial Model — Launch Readiness tab, 12 August 2026. Internal project planning workbook.**
- [3] Dubai International Financial Centre. Innovation Licence. <https://www.difc.com/business/establish-a-business/innovation-licence>
- [4] Dubai International Financial Centre. Registrar of Companies — Commercial Licence. <https://www.difc.com/business/registrars-and-commissioners/registrar-of-companies>
- [5] Dubai Financial Services Authority. Authorisation Services: Overview. <https://www.dfsa.ae/what-we-do/authorisation-services/overview>
- [6] Dubai Financial Services Authority Rulebook. GEN 5.3.21–5.3.22: Outsourcing. <https://dfsafen.thomsonreuters.com/entiresection/2033>
- [7] Dubai Financial Services Authority. Crypto Token Regulation — Applying for Authorisation. <https://www.dfsa.ae/crypto>
- [8] Dubai International Financial Centre. Data Protection Law No. 5 of 2020 and notification requirements. <https://www.difc.com/business/laws-and-regulations/legal-database/difc-laws/data-protection-law-difc-law-no-5-2020>
- [9] Virtual Assets Regulatory Authority. Licence Applications. <https://www.vara.ae/en/licenses-and-register/licence-applications/>
- [10] Virtual Assets Regulatory Authority. Licensed Activities and FAQs. <https://www.vara.ae/en/faq/>
- [11] Virtual Assets Regulatory Authority Rulebook. Schedule 1 — VA Activities. <https://rulebooks.vara.ae/rulebook/schedule-1-va-activities>
- [12] Virtual Assets Regulatory Authority Rulebook. Schedule 2 — Supervision and Authorisation Fees. <https://rulebooks.vara.ae/rulebook/schedule-2-supervision-and-authorisation-fees>
- [13] Virtual Assets Regulatory Authority Rulebook. Company Rulebook: Paid-Up Capital and Responsible Individuals. Responsible Individual requirements are also at <https://rulebooks.vara.ae/rulebook/c-responsible-individuals>. <https://rulebooks.vara.ae/rulebook/b-paid-capital>
- [14] Virtual Assets Regulatory Authority Rulebook. Custody Services Rulebook: Segregation and Control. <https://rulebooks.vara.ae/rulebook/b-segregation-and-control>
- [15] Virtual Assets Regulatory Authority Rulebook. Technology and Information Rulebook. <https://rulebooks.vara.ae/entiresection/189>
- [16] Virtual Assets Regulatory Authority Rulebook. FATF Travel Rule. <https://rulebooks.vara.ae/rulebook/g-fatf-travel-rule>
- [17] Virtual Assets Regulatory Authority Rulebook. Transfer and Settlement Services Rulebook: General Requirements. <https://rulebooks.vara.ae/rulebook/general-requirements>

- [18] Central Bank of the UAE Rulebook. Payment Token Services Regulation.  
<https://rulebook.centralbank.ae/en/rulebook/payment-token-services-regulation>
- [19] Central Bank of the UAE Rulebook. Article 2: Prohibitions on Activities and Promotions.  
<https://rulebook.centralbank.ae/en/rulebook/article-2-prohibitions-activities-and-promotions>
- [20] Central Bank of the UAE Rulebook. Article 8: Non-Objection for Foreign Payment Token Custody and Transfer. <https://rulebook.centralbank.ae/en/rulebook/article-8-application-non-objection-perform-payment-token-conversion-or-foreign-payment>
- [21] Central Bank of the UAE Rulebook. Article 14: Regulatory Capital for Payment Token Custodians and Transferors. <https://rulebook.centralbank.ae/en/rulebook/article-14-regulatory-capital-requirement-licensed-payment-token-custodians-and>
- [22] **Blockmediary / Transakt. Dubai Fintech License Requirements. Internal project planning note used to identify assumptions for verification; official sources supersede it where inconsistent.**

## Appendix A — concise launch-readiness checklist

| Workstream                   | Evidence required before launch                                                              |
|------------------------------|----------------------------------------------------------------------------------------------|
| <b>Regulatory perimeter</b>  | Written DFSA/VARA/CBUAE activity map signed off                                              |
| <b>DIFC partner</b>          | Authorisation verified; term sheet and outsourcing agreement executed                        |
| <b>Responsibility matrix</b> | Customer, custody, release, AML, complaints, reporting and liability assigned                |
| <b>Customer documents</b>    | Trade Escrow Agreement, risk disclosures and privacy notices approved                        |
| <b>Financial crime</b>       | KYB/UBO, sanctions, wallet screening, monitoring and escalation live                         |
| <b>Technology</b>            | Production contract audited; keys, roles, multisig, monitoring and emergency controls tested |
| <b>Operations</b>            | Document review, £50k escalation, objections, refunds, incidents and QA tested               |
| <b>Data protection</b>       | Controller/processor roles, data processing, retention and breach controls complete          |
| <b>VARA applicant</b>        | Non-DIFC entity, office, two RIs, senior management and funding in place                     |
| <b>VARA submission</b>       | IDQ/ATI and full application package submitted; capital and fees funded                      |
| <b>CBUAE overlay</b>         | USDC/EURC physical-goods settlement route confirmed                                          |
| <b>Go-live gate</b>          | Pilot begins only under partner approval; scale begins only on full VARA licence             |